

**POLICY
ON
CRITERIA FOR MAKING PAYMENTS TO NON-
EXECUTIVE INDEPENDENT DIRECTORS**

Avance Technologies Limited
CIN: L51900MH1985PLC035210

Reg. Off: 404, Corporate Annexe, Sonawala Road, Goregaon (East), Mumbai, Maharashtra – 400 063
Phone No.: +91 9594988351 Email: info@avance.in | avancetechnologiesltd@gmail.com | Website: www.avance.in

CRITERIA OF MAKING PAYMENTS TO NON-EXECUTIVE DIRECTORS

Overall remuneration should be reflective of the size of the Company, complexity of the sector/industry/company's operations and the company's capacity to pay the remuneration. Independent Directors ("ID") and Non-Independent Non- Executive Directors ("NED") may be paid sitting fees (for attending the meetings of the Board and of committees of which they may be members) and commission within regulatory limits. Quantum of sitting fees may be subject to review on a periodic basis, as required. Within the parameters prescribed by law, the payment of sitting fees and commission will be recommended by the NRC and approved by the Board.

Overall remuneration (sitting fees and commission) should be reasonable and sufficient to attract, retain and motivate Directors aligned to the requirements of the Company (taking into consideration the challenges faced by the Company and its future growth imperatives).

Overall remuneration practices should be consistent with recognised best practices. The aggregate commission payable to all the NEDs and IDs will be recommended by the NRC to the Board based on Company's performance, profits, return to investors, shareholder value creation and any other significant qualitative parameters as may be decided by the Board.

The NRC will recommend to the Board, the quantum of commission for each Director based upon the outcome of the evaluation process which is driven by various factors including attendance and time spent in the Board and committee meetings, individual contributions at the meetings and contributions made by Directors other than in meetings.

In addition to the sitting fees and commission, the Company may pay to any Director such fair and reasonable expenditure, as may have been incurred by the Director while performing his/her role as a Director of the Company. This could include reasonable expenditure incurred by the Director for attending Board/Board committee meetings, general meetings, court convened meetings, meetings with shareholders/creditors/ management, site visits, induction and training (organized by the Company for Directors) and in obtaining professional advice from independent advisors in the furtherance of his/her duties as a director.

Note: This Policy shall be subject to periodic review by the Board of Directors and shall be deemed to be amended in accordance with any changes in the applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other statutory requirements. In the event of any inconsistency between this Policy and applicable laws, the provisions of such laws shall prevail.